PRIORITY 2 OF 33 · SCORE 4.3

Defense (War)

DoD contracting is the fastest technical win. It runs on the same public data the SBA work already uses (SAM.gov, FPDS, USAspending), and DoD awards far more contract dollars than any other agency (roughly $400B+ a year; approximate, from USAspending). Small business set-aside and pass-through fraud is the direct bridge from SBA's 8(a), HUBZone and women-owned programs.

INVESTIGATIONS WE PROPOSE

- **DOD-1** Set-aside fronts: new firms with large awards, shared POCs with large firms, most work subcontracted to one ineligible firm. **First prototype.** One-page pitch available.
- **DOD-2** Collusion networks and win rotation. One-page pitch available.
- **DOD-3** Sole-source awards just under thresholds and runaway modifications.

EXPOSURE

- DoD's reported improper payment rates are highest in travel pay (11% to 13% across systems) and include $1.4B in one commercial pay system (GAO, FY2025).
- The bigger risk is procurement fraud that payment sampling does not catch: fake small businesses, pass-through fronts, bid rigging and inflated pricing. These are recurring DCIS and DOJ cases.

PUBLIC DATA WE USE

- **FPDS / USAspending** contract actions: vendor UEI, set-aside type, competition, modifications, subcontract reports.
- **SAM.gov entity and exclusion records:** addresses, officers, business type certifications, registration dates.
- **SBA certification lists** (8(a), HUBZone, WOSB, VetCert).
- **DCIS and DOJ press releases** for labeled cases.

HOW WE DETECT IT

1. **Front companies:** set-aside winners that are new, share addresses or officers with large firms, or subcontract most work to a non-eligible firm.
2. **Collusion signals:** "competitors" sharing officers, addresses or phone numbers, rotating wins, and identical bids.
3. **Award anomalies:** sole-source awards just under thresholds, rapid modification growth, and payees linked to excluded parties.

SCORECARD

Fraud savings identified
Pending

Phase 1 window
Weeks 3–7
Nov 16, 2026 to Dec 18, 2026

Workstream
Wave 1 and Wave 2 deep dives

FY2026 outlays
$1.35T · budget rank 4

Leads go to
DCIS, DoD OIG, OSBP, PCSF

WHY PRIORITY 2

Exposure	●●●●○
Public data	●●●●●
SBA method fit	●●●●●
Actionability	●●●○○

TOOL PREVIEW

Set-aside contractor integrity screen. See the wireframe of the screen DoD would receive.

On the site: Tool previews, DoD set-aside screen.

FIRST PROTOTYPE

A contractor integrity screen over DoD set-aside awards for the last five fiscal years. Reuse the SBA entity-resolution pipeline, add FPDS award features, and rank vendors with stated reasons. Validate against DOJ and DCIS cases.

OUR REVIEW, DELIVERED WEEK 7

Contractor integrity screen with ranked vendors and reasons; collusion network view by market; review memo; lead packages.

Every lead goes to an Inspector General or DOJ as a referral package with sources and caveats. Nothing is published.

WHAT WE ASK OF DOD

Phase 2 data: Invoices (WAWF / PIEE), DCAA audits, subcontract payment data, CAGE and bid data.

What it enables: Invoice fraud, cost mischarging, losing bids for collusion tests, real pass-through shares.

Access route: DCIS, DoD OIG, DPCAP.

LIMITS

Invoices and payments below the award level are not public, so this finds risky vendors and awards, not individual false invoices. Classified work is excluded.

SOURCES

- GAO-26-108694: FY2025 improper payments
- DOJ whistleblower program scope

Scores and plans are our judgment from public sources. Risk indicators are leads for Inspectors General or DOJ, not accusations.

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